



PHOTO BY **CHANDRADEEP KUMAR**

DRIVING THE ECONOMY

25%

Contribution
to non-farm em-
ployment

30%

Share in GDP

46%

Contribution
to exports

| 89

have largely recovered, with improved strength and productivity. By 2023-24, 73.4 million MSMEs were registered under the Udyam and Udyam Assist platforms, marking a 12.84% increase from the previous year. Employment has also risen. The Annual Survey of Unincorporated Sector Enterprises conducted by the Ministry of Statistics and Programme Implementation found that in 2023-24, there were 73.4 million informal sector establishments employing 120 million workers.

Government initiatives such as the Udyam registration portal and the Emergency Credit Line Guarantee Scheme (ECLGS) have boosted formalisation, while e-commerce and fintech solutions have lowered barriers for small businesses.

“It is quite clear that the impact of the pandemic on the sector is largely over. However, there remain several challenges for these enterprises,” says Anil Bhardwaj, Secretary General of Federation of Indian Micro and Small and Medium Enterprises (FISME). Fac-

tors like inflation have impacted wage growth, and issues related to access to finance, technological adoption, and regulatory compliance continue to hinder MSMEs from realising their full potential.

STRUCTURAL ROADBLOCKS

Despite signs of recovery, MSMEs continue to grapple with structural hurdles that limit their growth. K.E. Raghunathan, National Chairman, Association